

This agreement (“**Agreement**”) dated as of May 12th, 2021 sets forth the material terms of the agreement between Proper Business Ent, LLC c/o Wealth Management Associates, LLC, (“**Company**”, “**we**” or “**us**”) and Anthony Catchings Currie p/k/a “**NTYSIX**” (“**You**”, “**Your**” or “**Producer**”) for Producer’s non-exclusive services in connection with the master recording(s) set forth below featuring the recorded performance(s) of the artist **Isaiah Dukes professionally known as “Lil Zay Osama”** (“**Artist**”) recorded in connection with and/or for inclusion on, among other things, Artist’s upcoming full-length release, single, and/or extended play album (the “**Release**”) which is to be initially distributed by Artist’s and/or Company’s current distributor Warner Bros Records, Inc. (“**Distributor**”) pursuant to the exclusive recording agreement between Artist and Distributor dated as of January 22nd, 2019, as amended (the “**Distribution Agreement**”).

1. COMPANY:	Proper Business Ent, LLC	
2. PRODUCER:	Anthony Catchings Currie p/k/a “ NTYSIX ”	
3. COMPANY ADDRESS:	100 Church Street, 8th Floor New York, NY 10007	Contact: Andrew Krents, Esq. Email: andrew@krents.com Phone: (212) 260-1022
4. PRODUCER ADDRESS:	13049 South Escanaba Avenue Chicago, IL 60633	Contact: Anthony Currie Email: heyntysix@gmail.com Phone:

5. COMPOSITION(S) / MASTER(S):	One (1) master recording(s) (“ Master(s) ”) embodying Artist’s featured performance of the musical composition(s) listed on Schedule 1 (the “ Composition(s) ” and each a “ Composition ”) attached hereto and made a part hereof.
6. SERVICES:	Producer shall perform all services in connection with the Master(s) as are customarily performed by producers in the recording industry. The Master(s) shall be commercially and technically satisfactory to both Company and Distributor for the manufacture and sale of records. Company hereby acknowledges the satisfactory completion of Producer’s services and the full delivery and acceptance of the Masters hereunder (with no excess costs), provided the foregoing acknowledgement shall not in any way prejudice Company’s rights hereunder in the event of any breach of Producer’s representations, warranties and/or covenants set forth in this Agreement.

7. ADVANCE/ROYALTY :	<u>Advance.</u> Company shall pay or shall instruct and direct its Distributor (and/or any future music distribution companies used by Company [“Future Distributor(s)”]) to pay to Producer by way of an irrevocable letter of direction in the form attached hereto as Exhibit “A” a recoupable advance of Five Hundred (\$500) Dollars. The Advance will be paid upon the later of the complete execution of this Agreement, or the Delivery to, and acceptance by, Company and Distributor of the Master which is in all respects commercially and technically satisfactory to Company and Distributor. <u>Royalty.</u> Company shall pay or shall instruct and cause Distributor and/or any “Future Distributor(s)” to pay to Lender by way of an irrevocable letter of direction in the form attached hereto as Exhibit “A” a royalty in connection with the Master (the “Producer’s Royalty”) equal to three (3%) percent of the base royalty otherwise payable to Artist under the Distribution Agreement solely with respect to the Master (the “Base Rate”) as defined in the Producer Royalty Provisions attached hereto and incorporated herein as Schedule 2, pursuant to the irrevocable letter of direction annexed hereto and incorporated by reference herein as Exhibit A on top-line USNRC Net Sales of Records. The Producer’s Royalty shall be subject to the applicable provisions contained in the Distribution Agreement. Extracts pertaining to the calculation of royalties which are attached hereto as Schedule 3, and Producer’s Royalty shall be calculated, determined, adjusted reduced on the same basis (without regard to sales based escalations or Artist’s overall recoupment status) as Company calculates, determines, adjusts, reduces and pro-rates Artist’s royalties. Notwithstanding anything to the contrary expressed in, or implied by, this Agreement, the Producer’s Royalty shall be inclusive of any third party royalty participants (other than Artist) whose performances are embodied in the Master.
8. CONTROLLED COMPOSITIONS	The parties acknowledge that the Composition(s) shall be owned and/or controlled in accordance with the ownership interests set forth on Schedule 1. In the event that any composition(s) which are wholly or partly written, owned or controlled by You, Producer, or Producer Personnel (hereafter defined) is embodied in the Masters, You and Producer hereby irrevocably license (and shall cause their and Producer Personnel’s respective publishing designee(s) [each, a “ Producer Publisher ”] to license) their respective share(s), in and to the Composition(s) to Company, Distributor, and each

	of their respective designees, licensees, and/or producers (sometimes referred to herein collectively as “Company’s Designees”) an irrevocable universe-wide license under copyright to reproduce and exploit their respective share(s) in the Composition(s) as embodied on the Master(s) pursuant to the so-called Controlled Composition clause contained in the Distribution Agreement Extracts[. Further, You and/or Producer shall license and/or shall cause their Producer Publisher(s) (and to cause Producer Personnel) to license to Company’s Designees, a nonexclusive, worldwide and perpetual synchronization and other necessary use license(s), free of charge or royalty, solely for the purpose of reproducing Your and/or Producer’s and/or Producer Personnel’s share of any Composition(s) in any promotional Video(s) (as defined in the Distribution Agreement Extracts) and exhibiting, duplicating, manufacturing and distributing copies of such Video(s) only in connection with promotional purposes and only in the event that neither Company, Artist nor any other songwriter of any Controlled Composition(s) do not receive any compensation for said promotional use. The foregoing is not intended to limit Your, Producer’s or any Producer Publisher’s right to receive directly its respective share of publishing monies in connection with “monetized” promotional Video(s) (e.g., Videos exhibited on YouTube, Vimeo or Vevo). For the avoidance of doubt, each applicable writer / publisher shall exclusively administer his/her/its respective share of the applicable Composition(s).
9. OWNERSHIP OF MASTER(S) / GRANT OF RIGHTS:	All results and proceeds of the services of You, Producer, and/or any third party furnished or engaged by You or Producer (hereinafter individually and collectively referred to as “Producer Personnel”), including the Master(s) (but excluding the Composition(s) to the extent of Your and/or Producer’s interest therein and thereto) shall be deemed “works-for-hire” for Company within the meaning of the Copyright Act of 1976 (Title 17, U.S.C.), as amended, shall be subject to the provisions of this Agreement, and You shall cause any such Producer Personnel to be bound in writing by the terms hereof. If it is determined that the Master(s) do not so qualify, then the Master(s), together with all rights therein (other than the Composition[s]), shall be automatically assigned to Company and/or Company’s Designees by this Agreement. Upon signature of this Agreement, You and Producer shall immediately transfer to Company all rights (including but not limited to copyright) in and to the Master(s) (excluding the Composition[s]). You and Producer further grant to Company and/or Company’s Designees the right, throughout the universe and in perpetuity, to use Your name and Producer’s professional name, and Producer’s likeness and biographical material in the packaging and metadata of Records embodying the Master(s) and in all promotion and advertising therefor. We shall provide you for your approval any likeness, portrait or pictures of Producer or biographical material about Producer which we propose to use in connection therewith. We will not use any such material which you disapprove in writing within five (5) business days following the date on which such materials are provided to you, provided you furnish substitute material, satisfactory to us in our sole and reasonable discretion, in time for use within Distributor’s production and release schedules. No inadvertent, non-repetitive failure to comply with this paragraph will constitute a breach of this Agreement, and you will not be entitled to injunctive relief to restrain the continuing use of any material used in contravention of this paragraph. You shall have the right to submit photographs and likenesses of, and biographical material concerning, Producer and your submission of the same shall constitute your approval thereof. Company and Distributor shall have the exclusive right to exploit the Master(s) in all methods, manner and media, now known or hereafter developed, throughout the universe and in perpetuity, or to refrain therefrom. You shall cause Producer to waive any claims based on infringement of Producer’s “moral rights”, and understands that the Master(s) may be changed, altered, remixed, or coupled with any other recording(s) or other material in Company’s and Distributor’s sole discretion, subject to the terms and conditions of the Distribution Agreement. You and Producer shall have the right to request that Producer’s credit be removed from the Master(s) if the Master(s) are materially altered in any way (other than for timing or formatting purposes) by giving Company written notice thereof. For avoidance of doubt, Producer is not an original author of the copyright underlying the Master(s) and shall not in any event claim any reversionary right under the United States Copyright Act Section 203, or otherwise.
10. CREDIT:	With respect to the Master(s), Company shall accord, or shall instruct and use reasonable commercial efforts to cause Distributor to provide, credit to Producer as set forth on Schedule 1 in the liner notes of any record containing the Master(s), including the back cover of the LP packaging (if any) and any “single” embodying the Master(s) on the “A-side”, on metadata in connection with electronic transmissions and in all print ads placed or controlled by Company or Distributor of one-half (1/2) page or larger featuring the Master(s). Company’s inadvertent, non-repetitive failure, or any failure by Distributor, to provide such credit shall not be deemed to be a breach of this Agreement, provided that following written notice from You, Company uses reasonable commercial efforts to cure or instruct Distributor or other applicable third parties to prospectively cure any such credit failure. In no event shall You or Producer be entitled to an injunction in connection with a breach of these credit provisions.
11. SAMPLES:	You and Producer will not “sample”, “interpolate”, or otherwise incorporate into (“Sample,” “Sampling”) the Master(s) or Composition(s) (if applicable), or permit any Producer Personnel to Sample any copyrighted or otherwise proprietary material (“Proprietary Material”) belonging to any person, other than such material owned and/or supplied to You or Producer by Company for

	such purpose, unless approved by Company in writing. You shall advise us in writing of any such Proprietary Material and shall provide us with all information necessary to obtain appropriate permissions to use same, without restriction, on and in connection with the applicable Master(s). We shall have no obligation to accept any master recordings containing Proprietary Material, and our or Distributor's acceptance or use of same shall not relieve you of any obligations hereunder nor deprive us of any rights hereunder. Without limitation of Company's other rights: (a) in connection with any Approved Sample (as hereinafter defined), (i) any sums payable by or on behalf of Company or Company's Designees in connection with the clearance of Samples that have been disclosed to and approved by us in writing prior to commercial release of the applicable Master(s) ("Approved Sample") shall be deemed additional recoupable Recording Costs, (ii) you and/or Producer shall be solely responsible for paying for an amount equal to any and all other recurring obligations and similar costs therefor (e.g., royalties or any contingency participation conveyed [whether expressed in royalty or penny-rate terms], etc.), and (iii) any copyright ownership in the Composition(s) that must be conveyed to a third party with respect to such Approved Sample shall be borne by You; and (b) notwithstanding anything to the contrary contained herein, any sums payable (including without limitation, record royalties) by or on behalf of Company or Company's Designees in connection with the clearance of Samples embodied by You, Producer, and/or Producer Personnel that have not been disclosed to and approved by us prior to commercial release of the applicable Master(s) ("Undisclosed Sample") shall be deductible from any and all sums and/or interest due or accorded to You and/or Producer hereunder, and any copyright ownership in the Composition(s) that must be conveyed to a third party with respect to such Undisclosed Sample shall be borne entirely by You, Producer, Producer Personnel and/or Producer Publisher, as applicable.
12. REPRESENTATIONS / WARRANTIES:	You, on one hand, and Company, on the other hand, each warrant and represent, solely on their own behalf, that (a) it has the right to enter into this Agreement, grant their respective rights hereunder, and perform material terms and obligations hereunder; and (b) to the extent of their respective contributions to the Master(s), there shall be no liens, encumbrances or other charges against the Master(s) at the time of delivery, including, without limitation, any Undisclosed Samples. You further represent and warrant that: (i) Producer shall not re-record, produce, arrange, mix or remix for any person or entity other than Company or Distributor master recording(s) embodying the Composition(s) for at least three (3) years from the date of the initial commercial release of each such Master(s); (ii) no selections, materials, ideas, or other properties furnished by You or Producer or Producer Personnel and embodied or contained in the Master(s) or the Composition(s) will violate or infringe upon any law or statutory right of any person or entity; (iii) INTENTIONALLY NOT USED; and (iv) You shall be solely responsible for and shall pay any withholding, employment or other taxes required in connection with Producer's services hereunder. Company further represents and warrants that no selections, materials, ideas, or other properties furnished by Company and/or Artist or anyone engaged or furnished by Company and/or Artist (other than You, Producer, and/or Producer Personnel) and embodied or contained in the Master(s) or the Composition(s) will violate or infringe upon any law or statutory right of any person or entity.
13. INDEMNITY / GOVERNING LAW / VENUE:	(a) Each party hereto agrees to indemnify the other party and the other party's designees, licensees and assigns (collectively, the "Indemnified Party") from all damages, liabilities, costs, losses and expenses arising out of or connected with any third party claim, demand, or action arising out of a breach of any of the warranties, representations, or covenants made by such indemnifying party in this Agreement, to the extent reduced to a final adverse judgment in a court of competent jurisdiction or settled with the indemnifying party's prior written consent, such consent not to be unreasonably withheld. Notwithstanding the foregoing, in the event of a claim alleging copyright or other intellectual property infringement, Your foregoing indemnity obligation shall be immediate. Further, You hereby agree to indemnify Company and Distributor, and their respective designees, licensees, and assigns from all damages, liabilities, costs, losses and expenses arising out of or connected with any third party claim, demand, or action in connection with Proprietary Materials and/or Undisclosed Samples incorporated in any Master(s) and/or any Controlled Composition(s) by Producer; and Company hereby agrees to indemnify You and Producer, and their respective designees, licensees, and assigns from all damages, liabilities, costs, losses and expenses arising out of or connected with any third party claim, demand, or action in connection with Proprietary Materials and/or Undisclosed Samples incorporated in any Master(s) and/or Controlled Composition(s) by Company and/or Artist. The indemnifying party will reimburse the Indemnified Party upon written demand for any payment made by the Indemnified Party at any time in respect of any such third party claim, liability, damage or expense to which the foregoing indemnity relates. The Indemnified Party shall give the indemnifying party prompt written notice of any claim to which the foregoing indemnity applies and the indemnifying party may participate in the defense of same with counsel of its choosing at its sole cost and expense; provided that the Indemnified Party's decision in connection with the defense of any such claim shall be final.

	(b) Pending the determination of any claim relating to Your foregoing indemnity obligation, unless You post a bond in a form and amount acceptable to Company in Company's reasonable discretion, Company shall have the right to withhold (and/or cause the Distributor to withhold) from any sums due You hereunder an amount equal to Your potential liability pursuant to this paragraph. If as of the date twelve (12) months following the date such sums were initially withheld, no litigation on the claim has commenced or is imminent and no settlement discussions are then taking place, then the sums so withheld shall be credited to your account (subject to Company's right to once again withhold if litigation subsequently is instigated or becomes likely). (c) If either party hereto institutes any action, suit or proceeding based upon any matter, claim or controversy arising hereunder or relating hereto, such action shall be brought solely in the State Courts located in the City, County and State of New York, and shall be governed by New York law and the parties hereto (and You shall cause Producer to) submit to the jurisdiction and venue of said court, provided that notwithstanding anything to the contrary in this paragraph, if Company, or You or Producer, is sued or joined (e.g. by joinder or impleader) in any other court or forum by a person, or entity other than You or Producer, or Company, respectively, in respect of any matter that may give rise to a claim by or against You or Producer, or Company, hereunder, You and Company consent (and You shall cause Producer to consent) to the jurisdiction of such court or forum over any such claim asserted against You or Producer or Company. (d) Regardless of the forum in which any action hereunder is pursued, and without limitation of the right of either party hereunder to pursue other lawful methods of service of process, service of process on the respective party in writing and which is either (a) delivered personally, (b) by Express Mail, Federal Express or other express delivery service (receipt requested), or (c) via registered or certified mail, return receipt requested and received, at the respective address set forth above, shall be deemed for all purposes personal service upon such party.
14. MISCELLANEOUS:	(a) Nothing contained herein shall be deemed to obligate Company or Company's Designees to embody any of the Master(s) on any Record or any other medium recorded, exploited or released by Company or Company's Designees. (b) No party will be deemed to be in breach of any of such party's obligations hereunder unless and until the other party will have given written notice specifically setting forth the nature of such breach and the breaching party will have failed to cure such breach within thirty (30) days after the effective date of such notice (reduced to fifteen [15] days for failure to timely account and/or pay amounts due hereunder). In the event of any breach of this Agreement by Company, Your and Producer's sole remedy shall be an action at law for damages actually incurred, if any, and, except in the case of fraud, in no event shall You or Producer be entitled to seek equitable or other injunctive relief. It is expressly agreed that You are acting as an independent contractor and that nothing herein contained shall constitute a partnership, a joint venture, agency or employment relationship between You and Company. (c) Company shall have the right, at its election, to assign any of its rights hereunder, in whole or in part, to any person or entity. You shall not have the right to assign any of Your or Producer's obligations or rights hereunder, absent the express consent of Company, except for the one-time right to assign payment. (d) This Agreement supersedes all prior agreements between the parties pertaining to the subject matter hereof, whether verbal or written, and any further modification(s) to this Agreement shall not be binding unless in writing and signed by the parties hereto. This Agreement may be signed in any number of counterparts, each such counterpart being deemed to be an original instrument, but all of which shall constitute one document. Delivery of a signed counterpart of a signature page to this Agreement by facsimile or other electronic means shall be deemed effective as delivery of a manually executed original counterpart of this Agreement. (e) All notices to be given by either party hereunder shall be in writing and shall be delivered by hand or by United States certified mail, postage prepaid, return receipt requested, to the address of each party as first set forth above until notice of a new address shall be duly given, except that royalty statements and any payments due hereunder, shall be sent to you at such address by regular mail. Copies of all notices to Company hereunder shall be simultaneously sent in like manner to Andrew Krents, Esq., 1 University Place, Suite 21K, New York, New York 10003. (f) The parties acknowledge that they have participated jointly in the negotiation and drafting of this Agreement and, in the event an ambiguity or question of intent or interpretation arises, this Agreement shall be construed consistent with the joint drafting of this Agreement by the parties and no presumption or burden of proof shall arise favoring or disfavoring any party by virtue of the authorship of any of the provisions of this Agreement.

	(g) YOU ACKNOWLEDGE AND AGREE THAT YOU HAVE READ THIS AGREEMENT AND HAVE BEEN ADVISED BY COMPANY OF THE SIGNIFICANT IMPORTANCE OF RETAINING AN INDEPENDENT ATTORNEY OF YOUR CHOICE TO REVIEW THIS AGREEMENT ON YOUR BEHALF. YOU HEREBY ACKNOWLEDGE AND AGREE THAT YOU HAVE HAD THE UNRESTRICTED OPPORTUNITY TO BE REPRESENTED BY AN INDEPENDENT ATTORNEY. IN THE EVENT OF YOUR FAILURE TO OBTAIN AN INDEPENDENT ATTORNEY OR WAIVER THEREOF, YOU HEREBY WARRANT AND REPRESENT THAT YOU WILL NOT ATTEMPT TO USE SUCH FAILURE AND/OR WAIVER TO OBTAIN AN ATTORNEY AGAINST COMPANY, ARTIST OR DISTRIBUTOR, OR ANY OF THEIR SUCCESSORS.
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AGREED AND ACCEPTED:

Proper Business Ent LLC

By: _____

Duly Authorized Signature

AGREED AND ACCEPTED:

By:  _____

Anthony Catchings Currie p/k/a "NNTYSIX"

ACKNOWLEDGED:

By: _____

Isaiah Dukes p/k/a "Lil Zay Osama"

Schedule 1

List of Master(s) and Composition(s), Ownership of Composition(s), and Credit(s)

Masters / Compositions	Ownership of Compositions (with Publishing Designees)	Credit
"Night Time"	Isaiah Dukes – 30% Kisean Paul Anderson – 20% Anthony Catchings Currie – 50%	"Produced by NNTYSIX"

Producer Royalty Provisions

Producer's Royalty shall be paid retroactively from "record one" after Distributor recoups the Recording Costs (excluding any in-pocket advances paid to Artist) incurred in connection with the Album in which the Release is initially embodied and the master recordings embodied thereupon from the "net artist royalties" (i.e. the gross "all-in" royalties payable to Artist in connection with all exploitations of the Release and the master recordings embodied thereupon minus the royalty payable to Producer and all third-party producers, mixers, and other third party royalty participants (other than Artist) rendering services with respect to the Release and further subject to Distributor's recoupment of the Advance from Producer's Royalty.

Producer's Royalty for records that embody the Master together with master recordings that are not the Master shall be prorated by a fraction, the numerator of which is the number of royalty-bearing Master(s) embodied thereon (i.e., one (1)) and the denominator of which is the number of royalty-bearing (or fee-bearing) master recordings (including the Master) embodied thereon.

On exploitations of the Master for which a percentage of net receipts, including without limitation so-called "flat fee" income, or the like, is payable pursuant to the Distribution Agreement, Producer's Royalty will be equal to that portion of net receipts on such exploitations that is payable pursuant to the Distribution Agreement multiplied by a fraction, the numerator of which is the Base Rate and the denominator of which is the un-escalated "all-in" base royalty rate pursuant to the Distribution Agreement (the "**Fraction**"). On exploitations of audio-visual recordings embodying the Master, Producer's Royalty will be equal to fifty percent (50%) of the otherwise applicable royalty. Notwithstanding anything to the contrary in this Agreement, Producer's Royalty in connection with the Master embodied in "MTV-style" music videos, or the like, will be payable prospectively after the recoupable production costs of the applicable video have been recouped as set forth in the Distribution Agreement.

In the event Artist receives or is credited with any so-called "Direct Monies" directly from third-parties other than Distributor (e.g., monies from SoundExchange) solely and directly attributable to the Master, Company will cause Artist to pay, or shall instruct such third party to pay, Producer its pro-rata share of such Direct Monies determined by multiplying such Direct Monies, received by Artist, by the Fraction. Company shall cause Artist to execute and submit the irrevocable letter of direction in the form of Exhibit B attached hereto and incorporated herein by this reference as signed by Artist instructing SoundExchange to account directly to Producer its pro-rata share at the same time and subject to the same conditions pursuant to which SoundExchange accounts to Artist. In the event Company contracts with a featured artist for the Master, Company shall obtain and submit a letter of direction in the form of Exhibit B in favor of the Producer and Company shall use reasonable commercial efforts to cause any such featured artist to execute such letter of direction. In the event that SoundExchange does not directly account to Producer for Producer's share of Direct Monies, Company shall cause Artist to account for and pay Producer Producer's share of SoundExchange Direct Monies pursuant to the terms of the "Accounting" paragraphs below, without regard to the recoupment status of Producer's royalty account hereunder.

Producer's Royalty shall not be reduced except as specifically provided in the Producer Agreement to which this Schedule is attached).

Accounting:

Company shall use reasonable efforts to cause Distributor to pay to Producer royalties, fees and/or advances directly via an irrevocable letter of direction in substantially the form attached hereto as Exhibit A (or such form as required by Distributor). In the event that Distributor refuses or fails to pay royalties, fees, or advances directly to Producer, and following Producer's written notice to Company of such failure, Company shall send Producer statements regarding royalties, fees or advances payable to Lender within forty-five (45) days of Company's receipt thereof together with any payments due to Producer thereunder. Company shall have the right to deduct from any amounts payable to Producer hereunder solely such portion thereof as may be required to be deducted under the provisions of any applicable statute, regulation, treaty or other law, or under any applicable union or guild agreement, and Producer shall promptly execute and deliver to Company such forms and other documents as may be reasonably required by Company in connection therewith.

Producer understands and agrees that Company will be relying on statements provided to Company by Distributor. Accordingly, Producer shall be deemed to have consented to all royalty statements and all other accountings rendered by Company hereunder and each such royalty statement or other accounting shall be conclusive, final, and binding, shall constitute an account stated, and shall not be subject to any objection for any reason whatsoever unless specific objection in writing, stating the basis thereof, is given by Producer to Company by the date that is three (3) months prior to the date Company has to inspect the books of Distributor (the "**Audit Period**"). At any time within the Audit Period, Producer may, on reasonable notice to Company, appoint a certified public accountant to audit, at Producer's own expense, our books and records solely as they relate to the sale and other exploitation of the Master (and related expenditures) solely for the

a copy of the audit report within thirty (30) days after the completion of the applicable audit. No accounting statement shall be subject to audit more than once and no more than one (1) audit shall be conducted in any calendar year. No action, suit, or proceeding of any nature in respect of any royalty statement or other accounting rendered hereunder may be maintained against Company unless such action, suit, or proceeding is commenced against Company in a court of competent jurisdiction by the date that is three (3) months prior to the date Company has to commence action against Distributor. Producer shall not have the right to audit the books and records of Distributor. Company shall credit Producer's account with Lender's pro rata share of any monies recovered by Company with respect to the Master pursuant to any audit Company may elect to conduct of Distributor or claim against Distributor in connection with the Master, or any recoveries or settlements with Distributor or any third party, after deduction "off-the-top" of any actual, out-of-pocket, third party, reasonable costs actually incurred directly as a result of such audit, claim or settlement (solely to the extent such costs have not been reimbursed by Distributor or such other third party).. At Producer written request Company shall promptly provide Producer with relevant portions of the audit report submitted to Distributor.

Distribution Agreement Extracts

9. ROYALTIES

Company shall credit to your royalty account royalties as described below. Royalties shall be computed by applying the applicable royalty rate specified herein to the applicable Royalty Base Price in respect of Net Sales of the Record concerned:

(a) (i) The royalty rate (the **"Basic U.S. Rate"**) on USNRC Net Sales of Records consisting entirely of Recordings made hereunder during the applicable Contract Periods specified below shall be as follows:

TYPE OF RECORD	CONTRACT PERIOD	BASIC U.S. RATES
EPs in Phone Record form	Any	— %
Singles and Maxi-Singles in Phone Record form	Any	— %
Any other Audio Record	Initial Period	— %
	First Option Period and Second Option Period	— %
	Third Option Period	— %
Multiple Record Set	Any	— %
Audiovisual Record	Any	— %

(ii) INTENTIONASLLY REDACTED

(b) The royalty rate (the **"Foreign Rate"**) for Net Sales of Records sold for distribution in the following territories outside the United States by Company or its Principal Licensees shall be computed at the applicable percentage of the royalty rate (without regard to any applicable Escalated U.S. Album Rate) that would otherwise apply to Net Sales in the United States of the Record concerned, as follows:

TERRITORIES	PERCENTAGE OF APPLICABLE U.S. RATE
Canada	--
United Kingdom	--
Japan, Australia, New Zealand & the European Major Territories other than the United Kingdom	--
Rest of the World	--

(c) (i) The royalty rate for Net Sales of the following categories of sales of Records by Company or its Principal Licensees shall be computed at the applicable percentage of the Basic U.S. Rate or Foreign Rate that would otherwise apply to such Net Sales of the Record concerned:

CATEGORY	PERCENTAGE OF APPLICABLE U.S. ROYALTYS RATE OR FOREIGN RATE
Premium Record	50%
Development Record	75%
Mid-Price Record	66·2/3%
Budget Record	50%

(ii) The royalty rate on Net Sales of: (A) any Record sold by Company or a Principal Licensee through any direct mail or mail order distribution method other than a Club Operation; and (B) any Record sold in conjunction with a substantial television advertising campaign shall be fifty percent (50%) of the otherwise applicable royalty rate set forth in this agreement; provided that (I) the aggregate reduction in the royalties credited to your account by operation of paragraph 9(c)(ii)(B) shall not exceed fifty percent (50%) of

and (II) the reduction in the royalties credited to your account by operation of paragraph 9(c)(ii)(B) shall only apply to sales of Records in the territory where the television advertising campaign is broadcast.

(i) The royalty rate on Net Sales of Phono Records which are derived from Recordings hereunder, which Phono Records are licensed by Company or a Principal Licensee for sale through any Club Operation, shall be fifty percent (50%) of Net Receipts. No royalties shall be payable with respect to Phono Records received by members of any Club Operation in an introductory offer in connection with joining it or purchasing a required number of Phono Records including Phono Records distributed as "bonus" or "free" Phono Records, or Phono Records for which the Club Operation is not paid, provided that your royalty account shall be credited with a royalty on at least fifty percent (50%) of all Records distributed through any Club Operation. Company shall make such computation on a cumulative basis, and your royalty account shall be adjusted accordingly, no less frequently than every six (6) semi-annual calendar periods.

The royalty rate for any Recordings hereunder licensed by Company or a Principal Licensee for use in the distribution of Records (other than for Streaming Usages) shall be fifty percent (50%) of Net Receipts. The royalty rate for any Recordings hereunder licensed by Company or a Principal Licensee for use in synchronization with motion pictures, television programs or any form of commercials shall be fifty percent (50%) of Net Receipts. The royalty rate with respect to revenue received by Company from Web Site Advertising shall be fifty percent (50%) of Net Receipts.

The royalty rate for any Streaming Usages hereunder shall be a percentage of Net Receipts equal to the Basic U.S. Rate or Foreign Rate otherwise applicable to the Album on which the applicable Recording was originally embodied (or, if such Recording has not been embodied on an Album prior to its release through Streaming Usages, the Basic U.S. Rate or Foreign Rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the Basic U.S. Rate or otherwise applicable Foreign Rate set forth for the First Album).

With respect to Electronic Transmissions, the royalty rate shall be one hundred percent (100%) of the Basic U.S. Rate or Foreign Rate otherwise applicable to the Album on which the applicable Recording was originally embodied (or, if such Recording has not been embodied on an Album prior to its release via Electronic Transmission, the Basic U.S. Rate or Foreign Rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the Basic U.S. Rate or Foreign Rate otherwise applicable to the First Album).

The royalty rate on any Record embodying Recordings hereunder coupled with other Recordings shall be computed by multiplying the otherwise applicable royalty rate by a fraction, the numerator of which is the number of Recordings hereunder embodied on such Record and the denominator of which is the total number of Recordings embodied on such Record; however, the royalty rate on a Video which is coupled with Recordings by other artists on Audiovisual Records shall in no event exceed the royalty rate that would apply if such royalty were computed by apportionment based on the actual playing time of each Recording embodied in the Audiovisual Record concerned.

As to any Recording hereunder embodying the performances of Artist together with the performances of any other artist(s), the royalty rate otherwise payable hereunder with respect to sales of any Record derived from such Recording shall be computed by multiplying such royalty rate by a fraction, the numerator of which shall be one (1) and the denominator of which shall be the total number of artists whose performances are embodied on such Recording.

Notwithstanding anything to the contrary expressed or implied in this agreement, this paragraph 9 shall not be deemed to apply to any payments received by Company pursuant to any statute or other legislation or collective bargaining agreement or industry agreement including payments for the public performance of Recordings or royalties payable for the sale of blank cassettes or for the sale of recording equipment. Notwithstanding the foregoing if: (A) legislation or a collective bargaining agreement or industry agreement applicable to Company requiring the payment of copyright royalties for the public performance of sound recordings or for sales of blank tape is or has been enacted in any country of the Territory; (B) such legislation or collective bargaining agreement apportions such royalties into a recording artist share and a record company share; (C) you do not receive or waive the right to

royalties; and (D) Company actually receives in the United States a recording artist share of royalties attributable to you; then Company shall credit your royalty account hereunder with such recording artist share of royalties directly attributable to Recordings hereunder.

(i) The royalties payable pursuant to this agreement include all royalties (other than music publishing royalties) payable to you, Artist and any other Persons with respect to the Record concerned.

0) If the performances embodied on any Recording hereunder enter the public domain in any country of the Territory so that such Recording may be reproduced and/or exploited in such country without license from and payment to Company, then, notwithstanding anything to the contrary contained herein, no monies shall be payable hereunder to you and/or Artist with respect to such Recording sold in such country on and after the date such Recording enters the public domain.

If any Artwork is commercially exploited separately in connection with the sale or license of a Record, Company shall credit your royalty account hereunder with a percentage of Net Receipts derived from the sale or license of such Artwork that is equal to the Basic U.S. Rate applicable to such Record. If any Artwork is commercially exploited separately and not in connection with the sale or license of a Record (e.g., as so-called wallpaper" or other visual images downloadable via the Internet or wireless devices), Company shall credit your royalty account hereunder with fifty percent (50%) of Net Receipts derived from the exploitation of such Artwork.

With respect to Voice Ringers, the royalty rate shall be one hundred percent (100%) of the royalty rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the royalty rate otherwise applicable to the First Album.

STATEMENTS AND PAYMENTS

Within ninety (90) days after June 30 and December 31 of each year during which applicable Records are sold, Company shall render a statement of accrued royalties earned under this agreement during the preceding calendar semi-annual period. Concurrently with the rendition of each statement, Company shall pay you all royalties shown to be due by such statement, after deducting all Advances made prior to the rendition of the statement. No statements need be rendered by Company for any such calendar semi-annual period after the expiration of the Term for which there are no sales of Records derived from Recordings hereunder. All statements and payments shall be made to the order of _____ and shall be sent to _____ at the following address: _____ . Company shall be entitled to maintain a single account with respect to all Recordings subject to this agreement or any other agreement.

Company may withhold a reasonable reserve against returns, exchanges, refunds, credits and the like with respect to Phone Records. You shall be deemed to have consented to all accountings rendered by Company hereunder and such accountings shall be binding upon you and not subject to any objection by you for any reason unless specific objection, in writing, stating the basis thereof, is given to Company within two (2) years after the date Company is deemed to have rendered the applicable statement, and after such written objection, unless suit is instituted within three (3) years after the date Company is deemed to have rendered the applicable statement. Company shall be deemed conclusively to have rendered each statement on the date prescribed in this paragraph 10(a)(i) unless you notify Company otherwise with respect to any particular statement within sixty (60) days after the date that Company is required to render that statement pursuant to the first sentence of this paragraph 10(a)(i).

(b) You shall have the right at your sole cost and expense to appoint a certified public accountant to examine Books and Records as same pertain to sales of Records subject hereto; provided that, any such examination shall be for a reasonable duration, shall take place at Company's offices during normal business hours on reasonable prior notice and shall not occur more than once in any calendar year. You may examine Books and Records with respect to a particular statement only once. If Company agrees that there has been an undercrediting of royalties to you exceeding ten percent (10%) of the total royalties reported as credited by Company to your account hereunder for the period covered by such examination or if an undercrediting of royalties exceeding such amount is established by a court of competent jurisdiction, Company shall reimburse you in the amount of all reasonable fees paid by you to the auditors concerned in connection with such audit, up to a maximum amount of Twenty-Five Thousand Dollars (\$25,000) per audit. Company shall pay interest to you on the payable portion (i.e., the portion in excess of any then-unrecouped Advances) of any agreed upon or so-established undercrediting of royalties hereunder at the prime rate as quoted in the "Money Rate" section of The Wall Street Journal or any other similarly reputable published source, calculated on the basis of a 365-day year.

Company shall compute your royalties in the same national currency in which Company's licensee pays Company for that sale, and Company shall credit those royalties to your account at the same rate of exchange at which the licensee pays Company (or credits Company in recoupment of an advance made to

purposes of accounting to you, Company shall treat any sale outside of the United States as a sale made during the same royalty accounting period in which Company receives accounting and payment (or credit to Company in recoupment of an advance made to Company by such licensee, as reflected in a royalty accounting statement received by Company) for that sale from the applicable licensee. If Company cannot collect payment in the United States in U.S. Dollars, Company shall not be required to account to you for that sale, except that Company shall, at your request and at your expense, deduct from the monies so blocked, and deposit in a foreign depository, the equivalent in local currency of the royalties which would be payable to you on the foreign sales concerned, to the extent such monies are available for that purpose, and only to the extent to which your royalty account is then in a fully recouped position. All such deposits shall constitute royalty payments to you for accounting purposes.

To the extent possible, Company shall allow you to select the foreign depository referred to in this paragraph 10(a){iii).

9. **ROYALTIES**

Company shall credit to your royalty account royalties as described below. Royalties shall be computed by applying the applicable royalty rate specified herein to the applicable Royalty Base Price in respect of Net Sales of the Record concerned:

(a) (i) The royalty rate (the **"Basic U.S. Rate"**) on USNRC Net Sales of Records consisting entirely of Recordings made hereunder during the applicable Contract Periods specified below shall be as follows:

TYPE OF RECORD	CONTRACT PERIOD	BASIC U.S. RATES
EPs in Phone Record form	Any	— %
Singles and Maxi-Singles in Phone Record form	Any	— %
Any other Audio Record	Initial Period	— %
	First Option Period and Second Option Period	— %
	Third Option Period	— %
Multiple Record Set	Any	— %
Audiovisual Record	Any	— %

(ii) The royalty rate (the **"Escalated U.S. Album Rate"**) solely on USNRC Net Sales of each Committed Album in excess of the following number of units shall be the applicable rate set forth below rather than the otherwise applicable Basic U.S. Rate or any prior and otherwise applicable Escalated U.S. Album Rate:

| RECORDING COMMITMENT

| USNRC NET SALES

| ESCALATED U.S. ALBUM

		RATES
First Album	600,000 units	-- %
	1,200,000 units	-- %
Second Album & Third Album	600,000 units	-- %
	1,200,000 units	-- %
Fourth Album	600,000 units	-- %
	1,200,000 units	-- %

The royalty rate (the **"Foreign Rate"**) for Net Sales of Records sold for distribution in the following territories outside the United States by Company or its Principal Licensees shall be computed at the applicable percentage of the royalty rate (without regard to any applicable Escalated U.S. Album Rate) that would otherwise apply to Net Sales in the United States of the Record concerned, as follows:

TERRITORIES	PERCENTAGE OF APPLICABLE U.S. RATE
Canada	--
United Kingdom	--
Japan, Australia, New Zealand & the European Major Territories other than the United Kingdom	--
Rest of the World	--

(i) The royalty rate for Net Sales of the following categories of sales of Records by Company or its Principal Licensees shall be computed at the applicable percentage of the Basic U.S. Rate or Foreign Rate that would otherwise apply to such Net Sales of the Record concerned:

CATEGORY	PERCENTAGE OF APPLICABLE U.S. ROYALTYS RATE OR FOREIGN RATE
Premium Record	50%
Development Record	75%
Mid-Price Record	66-2/3%
Budget Record	50%

(ii) The royalty rate on Net Sales of: (A) any Record sold by Company or a Principal Licensee through any direct mail or mail order distribution method other than a Club Operation; and (B) any Record sold in conjunction with a substantial television advertising campaign shall be fifty percent (50%) of the otherwise applicable royalty rate set forth in this agreement; provided that (I) the aggregate reduction in the royalties credited to your account by operation of paragraph 9(c)(ii)(B) shall not exceed fifty percent (50%) of Company's or a Principal Licensee's expenditures in respect of a particular television advertising campaign and (II) the reduction in the royalties credited to your account by operation of paragraph 9(c)(ii)(B) shall only apply to sales of Records in the territory where the television advertising campaign is broadcast.

(i) The royalty rate on Net Sales of Phono Records which are derived from Recordings hereunder, which Phono Records are licensed by Company or a Principal Licensee for sale through any Club Operation, shall be fifty percent (50%) of Net Receipts. No royalties shall be payable with respect to Phono Records received by members of any Club Operation in an introductory offer in connection with joining it or purchasing a required number of Phono Records including Phono Records distributed as "bonus" or "free" Phono Records, or Phono Records for which the Club Operation is not paid, provided that your royalty account shall be credited with a royalty on at least fifty percent (50%) of all Records distributed through any Club Operation. Company shall make such computation on a cumulative basis,

and your royalty account shall be adjusted accordingly, no less frequently than every six (6) semi-annual calendar periods.

The royalty rate for any Recordings hereunder licensed by Company or a Principal Licensee for use in the distribution of Records (other than for Streaming Usages) shall be fifty percent (50%) of Net Receipts. The royalty rate for any Recordings hereunder licensed by Company or a Principal Licensee for use in synchronization with motion pictures, television programs or any form of commercials shall be fifty percent (50%) of Net Receipts. The royalty rate with respect to revenue received by Company from Web Site Advertising shall be fifty percent (50%) of Net Receipts.

The royalty rate for any Streaming Usages hereunder shall be a percentage of Net Receipts equal to the Basic U.S. Rate or Foreign Rate otherwise applicable to the Album on which the applicable Recording was originally embodied (or, if such Recording has not been embodied on an Album prior to its release through Streaming Usages, the Basic U.S. Rate or Foreign Rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the Basic U.S. Rate or otherwise applicable Foreign Rate set forth for the First Album).

With respect to Electronic Transmissions, the royalty rate shall be one hundred percent (100%) of the Basic U.S. Rate or Foreign Rate otherwise applicable to the Album on which the applicable Recording was originally embodied (or, if such Recording has not been embodied on an Album prior to its release via Electronic Transmission, the Basic U.S. Rate or Foreign Rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the Basic U.S. Rate or Foreign Rate otherwise applicable to the First Album).

The royalty rate on any Record embodying Recordings hereunder coupled with other Recordings shall be computed by multiplying the otherwise applicable royalty rate by a fraction, the numerator of which is the number of Recordings hereunder embodied on such Record and the denominator of which is the total number of Recordings embodied on such Record; however, the royalty rate on a Video which is coupled with Recordings by other artists on Audiovisual Records shall in no event exceed the royalty rate that would apply if such royalty were computed by apportionment based on the actual playing time of each Recording embodied in the Audiovisual Record concerned.

As to any Recording hereunder embodying the performances of Artist together with the performances of any other artist(s), the royalty rate otherwise payable hereunder with respect to sales of any Record derived from such Recording shall be computed by multiplying such royalty rate by a fraction, the numerator of which shall be one (1) and the denominator of which shall be the total number of artists whose performances are embodied on such Recording.

Notwithstanding anything to the contrary expressed or implied in this agreement, this paragraph 9 shall not be deemed to apply to any payments received by Company pursuant to any statute or other legislation or collective bargaining agreement or industry agreement including payments for the public performance of Recordings or royalties payable for the sale of blank cassettes or for the sale of recording equipment. Notwithstanding the foregoing if: (A) legislation or a collective bargaining agreement or industry agreement applicable to Company requiring the payment of copyright royalties for the public performance of sound recordings or for sales of blank tape is or has been enacted in any country of the Territory; (B) such legislation or collective bargaining agreement apportions such royalties into a recording artist share and a record company share; (C) you do not receive or waive the right to receive (e.g., fail to make a timely application to receive) the applicable recording artist share of such royalties; and (D) Company actually receives in the United States a recording artist share of royalties attributable to you; then Company shall credit your royalty account hereunder with such recording artist share of royalties directly attributable to Recordings hereunder.

(i) The royalties payable pursuant to this agreement include all royalties (other than music publishing royalties) payable to you, Artist and any other Persons with respect to the Record concerned.

0) If the performances embodied on any Recording hereunder enter the public domain in any country of the Territory so that such Recording may be reproduced and/or exploited in such country without license from and payment to Company, then, notwithstanding anything to the contrary contained herein, no monies shall be payable hereunder to you and/or Artist with respect to such Recording sold in such country on and after the date such Recording enters the public domain.

If any Artwork is commercially exploited separately in connection with the sale or license of a Record, Company shall credit your royalty account hereunder with a percentage of Net Receipts derived from the sale or license of such Artwork that is equal to the Basic U.S. Rate applicable to such Record. If any Artwork is commercially exploited separately and not in connection with the sale or license of a Record (e.g., as so-called wallpaper" or other visual images downloadable via the Internet or wireless devices), Company shall credit your royalty account hereunder with fifty percent (50%) of Net Receipts derived from the exploitation of such Artwork.

With respect to Voice Ringers, the royalty rate shall be one hundred percent (100%) of the royalty rate otherwise applicable to the most-recently released Committed Album or, if no Committed Album has been released, the royalty rate otherwise applicable to the First Album.

10. STATEMENTS AND PAYMENTS

Within ninety (90) days after June 30 and December 31 of each year during which applicable Records are sold, Company shall render a statement of accrued royalties earned under this agreement during the preceding calendar semi-annual period. Concurrently with the rendition of each statement, Company shall pay you all royalties shown to be due by such statement, after deducting all Advances made prior to the rendition of the statement. No statements need be rendered by Company for any such calendar semi-annual period after the expiration of the Term for which there are no sales of Records derived from Recordings hereunder. All statements and payments shall be made to the order of _____

_____ and shall be sent to _____ at the following address: _____
_____. Company shall be entitled to maintain a single account with respect to all Recordings subject to this agreement or any other agreement.

Company may withhold a reasonable reserve against returns, exchanges, refunds, credits and the like with respect to Phone Records. You shall be deemed to have consented to all accountings rendered by Company hereunder and such accountings shall be binding upon you and not subject to any objection by you for any reason unless specific objection, in writing, stating the basis thereof, is given to Company within two (2) years after the date Company is deemed to have rendered the applicable statement, and after such written objection, unless suit is instituted within three (3) years after the date Company is deemed to have rendered the applicable statement. Company shall be deemed conclusively to have rendered each statement on the date prescribed in this paragraph 10(a)(i) unless you notify Company otherwise with respect to any particular statement within sixty (60) days after the date that Company is required to render that statement pursuant to the first sentence of this paragraph 10(a)(i).

(b) You shall have the right at your sole cost and expense to appoint a certified public accountant to examine Books and Records as same pertain to sales of Records subject hereto; provided that, any such examination shall be for a reasonable duration, shall take place at Company's offices during normal business hours on reasonable prior notice and shall not occur more than once in any calendar year. You may examine Books and Records with respect to a particular statement only once. If Company agrees that there has been an undercrediting of royalties to you exceeding ten percent (10%) of the total royalties reported as credited by Company to your account hereunder for the period covered by such examination or if an undercrediting of royalties exceeding such amount is established by a court of competent jurisdiction, Company shall reimburse you in the amount of all reasonable fees paid by you to the auditors concerned in connection with such audit, up to a maximum amount of Twenty-Five Thousand Dollars (\$25,000) per audit. Company shall pay interest to you on the payable portion (i.e., the portion in excess of any then-unrecouped Advances) of any agreed upon or so-established undercrediting of royalties hereunder at the prime rate as quoted in the "Money Rate" section of The Wall Street Journal or any other similarly reputable published source, calculated on the basis of a 365-day year.

Company shall compute your royalties in the same national currency in which Company's licensee pays Company for that sale, and Company shall credit those royalties to your account at the same rate of exchange at which the licensee pays Company (or credits Company in recoupment of an advance made

to Company by such licensee, as reflected in a royalty accounting statement received by Company). For purposes of accounting to you, Company shall treat any sale outside of the United States as a sale made during the same royalty accounting period in which Company receives accounting and payment (or credit to Company in recoupment of an advance made to Company by such licensee, as reflected in a royalty accounting statement received by Company) for that sale from the applicable licensee. If Company cannot collect payment in the United States in U.S. Dollars, Company shall not be required to account to you for that sale, except that Company shall, at your request and at your expense, deduct from the monies so blocked, and deposit in a foreign depository, the equivalent in local currency of the royalties which would be payable to you on the foreign sales concerned, to the extent such monies are available for that purpose, and only to the extent to which your royalty account is then in a fully recouped position. All such deposits shall constitute royalty payments to you for accounting purposes. To the extent possible, Company shall allow you to select the foreign depository referred to in this paragraph 10(a){iii}.

12. LICENSES FOR MUSICAL COMPOSITIONS

(a) For the purposes of this agreement, the following definitions shall apply: (i) **"Controlled Compositions"** - any Composition or material recorded pursuant to this agreement which, in whole or in part, is written or composed, and/or owned or controlled, directly or indirectly, by you and/or any individual member of Artist and/or any producer of a Master and/or anyone associated or affiliated with you, Artist or any such producer; (ii) **"Effective Date"** - the earlier of: (A) the date on which you Deliver the first Master which embodies the Controlled Composition concerned; or (8) the date on which you are required to Deliver such Master; (iii) **"U.S. 100% Rate"** - the United States minimum per Composition compulsory license rate applicable to the use of Compositions on phonorecords under the United States Copyright Law (without regard to playing time) in effect as of the Effective Date, or, if there is no statutory rate in the United States as of the Effective Date, the per Composition rate (without regard to playing time) generally utilized by major record companies in the United States as of the Effective Date; and (iv) **"Canadian 100% Rate"** - the Canadian statutory per Composition rate (without regard to playing time) in effect as of the Effective Date, or, if there is no statutory rate in Canada as of the Effective Date, the per Composition rate (without regard to playing time) generally utilized by *major* record companies in Canada as of the Effective Date].

(b) Controlled Compositions shall be and are hereby irrevocably licensed to Company and its licensees: (i) for the United States, at a royalty per Controlled Composition equal to the U.S. 100% Rate; and (ii) for Canada, at a royalty per Controlled Composition equal to the Canadian 100% Rate.

(c) Notwithstanding the foregoing, regardless of the total number of Compositions embodied on the Record concerned, the maximum aggregate mechanical royalty rate which Company shall be required to pay in respect of: (i) any Single hereunder shall not exceed two (2) times the U.S. 100% Rate or the Canadian 100% Rate, as the case may be; (ii) any Maxi-Single hereunder shall not exceed three (3) times the U.S. 100% Rate or the Canadian 100% Rate, as the case may be; (iii) any EP hereunder shall not exceed five (5) times the U.S. 100% Rate or the Canadian 100% Rate, as the case may be; (iv) any Album (and any Value-Added Record) hereunder shall not exceed twelve (12) times the U.S. 100% Rate or the Canadian 100% Rate, as the case may be; and (v) any Multiple Record Set hereunder (other than any Value-Added Record) shall not exceed the otherwise applicable maximum aggregate mechanical royalty rate set forth in this paragraph 12(c) multiplied by a fraction, the numerator of which shall be the PPD for such Multiple Record Set and the denominator of which shall be the PPD applicable to the majority (or plurality) of Company's or its Principal Licensee's top line single Albums in the same format.

(d) In respect of all Controlled Compositions, Company and its licensees are hereby granted the irrevocable perpetual right throughout the Territory, at no cost, to reprint the lyrics on and/or in connection with the jackets, sleeves and other packaging of Records derived from Recordings hereunder, and to transmit, broadcast, or otherwise reproduce such lyrics on, or cause the transmission, broadcast or other reproduction of lyrics by means of Records containing audiovisual material, and on websites, in connection with the exploitation and promotion of Recordings hereunder. Company shall provide appropriate copyright notices and writer and publisher credits with respect to such reprinted lyrics; provided that, Company's inadvertent failure to do so in any instance shall not constitute a breach of this agreement. You also grant to Company and Company's licensees an irrevocable license under copyright to reproduce each Controlled Composition in Videos and in advertisements for Recordings hereunder (including so-called EPKs) or Artist's recording services in any and all media (including television, radio and the Internet), to reproduce,

distribute and perform those Videos and advertisements in any manner (including publicly and for profit, and including use of such Videos and advertisements in Records containing audiovisual material and in webcasts), to manufacture and distribute Audiovisual Records and other copies of those Videos, and to exploit such Videos and advertisements otherwise, by any method and in any form known now or in the future, in perpetuity and throughout the Territory, and to authorize others to do so. Company shall pay a music publishing royalty for each such Audiovisual Record sold, paid for and not returned at a rate equal to eight (\$0.08) cents per Controlled Composition; provided that, in no event shall the aggregate mechanical royalties payable by Company in respect of all Compositions contained in any particular Audiovisual Record exceed eight (8%) percent of the Royalty Base Price for such Audiovisual Record. Company and Company's licensees shall not be required to make any additional payment in connection with any such uses. If any exhibition of a Video and/or advertisement is also authorized under another license (such as a public performance license granted by ASCAP or BMI), that exhibition shall be deemed authorized by that license instead of this agreement. In all events, Company and Company's licensees shall have no liability by reason of any such exhibition. You also grant to Company and Company's licensees at no cost an irrevocable license under copyright to reproduce, distribute and perform each Controlled Composition or any portion thereof for promotional purposes on websites maintained by Company or its licensees or affiliates throughout the Territory.

(e) If the aggregate mechanical royalty rate for any Record exceeds the applicable maximum aggregate mechanical royalty rate provided in paragraph 12(c), the aggregate mechanical royalty rate for Controlled Compositions contained thereon shall be reduced by the amount of that excess. Additionally, Company (and/or Company's Principal Licensee in Canada) shall have the right to deduct the amount of that excess from all monies payable under this agreement or any other agreement. Mechanical royalties shall be paid on 100% of Publishing Net Sales. No mechanical royalties shall be payable with respect to non-musical material, Compositions that are two (2) minutes or less in duration, Compositions embodied in "hidden" Recordings (i.e., Recordings which are not listed in the primary track listing on the liner notes for the Record concerned), or "intros," "interludes," "extraludes" or similar Compositions. Company may maintain reserves with respect to the payment of mechanical royalties. If Company (or its applicable Principal Licensee) makes an overpayment of mechanical royalties in respect of Compositions recorded under this agreement, you shall reimburse Company for same, failing which Company may recoup any such overpayment from all monies becoming payable under this agreement or any other agreement. Mechanical royalty payments on Records subsequently returned are considered overpayments. Notwithstanding anything to the contrary contained herein, mechanical royalties payable in respect of Controlled Compositions for Publishing Net Sales other than from USNRC Net Sales shall be seventy-five percent (75%) of the otherwise applicable U.S. 100% Rate or Canadian 100% Rate, as the case may be. Mechanical royalties for Controlled Compositions which are arranged versions of any Compositions in the public domain shall be paid in the same proportion as the appropriate performing rights society grants performing credits to the publisher of such Controlled Composition, provided you have furnished Company with a copy of the letter from such performing rights society setting forth the percentage of the otherwise applicable credit which the publisher shall receive. Any assignment of the ownership or administration of copyright in any Controlled Composition shall be made subject to the provisions hereof and any inconsistencies between the terms of this agreement and mechanical licenses issued to and accepted by Company shall be determined by the terms of this agreement. If any Record contains Compositions which are not Controlled Compositions, you shall obtain for Company's benefit mechanical licenses covering such Compositions on the same terms and conditions applicable to Controlled Compositions pursuant to this paragraph 12.

(f) You hereby agree that all Compositions shall be available for licensing by Company and Company's licensees for reproduction and distribution in each country of the Territory outside of the United States and Canada through the author's society or other licensing and collecting body generally responsible for such activities in the country concerned. You shall cause the issuance of effective licenses, under copyright and otherwise, to reproduce each Composition on Records and distribute those Records outside the United States and Canada, on terms not less favorable to Company or Company's licensees than the terms prevailing on a general basis in the country concerned with respect to the use of Compositions on comparable Records.

(g) Notwithstanding anything in the foregoing provisions of this paragraph 12 to the contrary, if a particular Controlled Composition recorded hereunder is embodied more than once on a particular Record, Company shall pay mechanical royalties in connection therewith at the applicable rate for such Controlled Composition as if the Controlled Composition concerned were embodied thereon only once. For purposes of this paragraph 12, a Composition and all adaptations thereof (e.g., remixes, etc.), if any, shall be deemed to be one (1) Composition.

(h) If you or Artist and/or anyone associated or affiliated with you or Artist are party to an exclusive music publishing agreement for a territory which includes the United States and/or Canada (a **"Controlled Publishing Agreement"**) with any music publishing company owned and controlled by Warner Music Group (a **"Controlled Publisher"**). Company shall pay mechanical royalties pursuant to this paragraph 12 with respect to Publishing Net Sales of Records hereunder at the U.S. 100% Rate (if the territory includes the United States) or Canadian 100% Rate (if the territory includes Canada), as applicable, in lieu of the U.S. Rate and Canadian Rate, as applicable, but otherwise pursuant to all other terms of this paragraph 12, with respect to each Controlled Composition which is subject to the Controlled Publisher's exclusive administration rights under the Controlled Publishing Agreement, for so long as and to the extent that such Controlled Composition is subject to such exclusive administration rights in the United States and/or Canada, as applicable.

22. **DEFINITIONS**

For the purposes of this agreement, the following definitions shall apply: (a) **"Advance"** - a prepayment of royalties. Company may recoup Advances from royalties to be paid or accrued to or on behalf of you or Artist pursuant to this agreement or any other agreement. Advances paid under paragraph 7 shall not be returnable to Company except as otherwise specifically set forth in this agreement or in other circumstances in which Company is entitled to their return by reason of your failure to fulfill your obligations. Mechanical royalties shall not be chargeable in recoupment of any Advances except those Advances which are expressly recoupable from all monies payable under this agreement or any other agreement. Notwithstanding the preceding sentence, in all instances in this agreement (other than paragraphs 12 and 15(b)) where Company is entitled to recoup particular charges from "all monies payable under this agreement or any other agreement," Company hereby agrees to look last to mechanical royalties payable hereunder for purposes of such recoupment, it being understood that Company shall in no event be required to delay the time it would otherwise recoup such charges; (b) **"Album"** - a Record having no less than forty (40) minutes of playing time and which embodies at least eleven (11) Masters each containing a different Composition sold in a single package; (c) **"any other agreement"** - any other agreement with Company relating to Artist's Recordings or relating to Artist as a recording artist or as a producer of Recordings of Artist's own performances; (d) **"Artist Identification Assets"** - defined in paragraph S(b); (f) "Artist Name" - defined in paragraph 1S(a)(v); (e) **"Artist Sites"** - the Company-Artist Site, the Artist URLs, third party sites and pages related to Artist, and any other equivalent of the foregoing, including WAP sites, mobile sites, and social networking sites and the content embodied thereon; (f) **"Artwork"** - all material embodied in, or supplied by you or Artist for use in, the packaging of Records (including any inserts or other special elements or materials), or created, commissioned or acquired by Company or supplied by you or Artist, for use in publicity, promotion or marketing or as part of Videos, EPKs, or any other Records, including all drawings, photographs, logos, calligraphy, images, paintings or other visual or audiovisual material; (g) **"Audio Record"** - a Record which embodies reproduces, transmits or communicates primarily audio-only (as opposed to audiovisual) material, including any Master but excluding Voice Ringers; (h) **"Audiovisual Record"** - a Record which embodies, reproduces, transmits or communicates primarily audiovisual (as opposed to audio-only) material, including any Video; (i) **"Books and Records"** that portion of Company's books and records which specifically reports: (1) sales and other distributions of Records embodying Recordings hereunder; (2) Net Receipts; and (3) Recording Costs and Video Production Costs incurred in connection with Recordings hereunder and any other sums specifically charged against royalties hereunder. Upon your written request in connection with any audit hereunder, Books and Records shall also include Company's standard summary inventory report for Phone Records reflecting the following information on a title-by-title basis and on a format-by-format basis: units manufactured, units shipped, returned units (both returns to inventory and defective returns), current inventory and any adjustments thereto (e.g., "shrinkage"); **"Budget Record"** - (1) in the United States, a Record in a particular format which is sold by Company or through Company's distributors at a PPD which is less than sixty-six and two-thirds percent (66-2/3%) of the then-prevailing PPD for the majority (or plurality) of Company's Top Line Records in such format and (2) outside the United States,

a Record in a particular format which is sold by Company, Company's Principal Licensees or their distributors at a PPD which is less than fifty percent (50%) of the applicable Principal Licensee's then-prevailing PPD for the majority (or plurality) of such Principal Licensee's Top Line Records in such format; (k) **"Business Day"** - any day other than a Saturday, a Sunday, a day on which banks in New York City or Los Angeles are authorized or obligated by law to close or a day on which Company's headquarters is officially closed; (l) **"Club Operation"** - a business which is primarily engaged in the direct marketing to consumers on a membership basis of audio and audiovisual products in Phone Record form; (m) **"Committed Album"** - defined in paragraph 3(b); (n) **"Company-Artist Site"** - each Artist-branded digital site established and operated by or on behalf of Company; (o) **"Compilation Record"** - a Record embodying Recordings hereunder together with other Recordings; (p) **"Composition"** - a musical composition or medley consisting of words and/or music, or any dramatic material and bridging passages, whether in the form of instrumental and/or vocal music, prose or otherwise, irrespective of length; (q) **"Consumer Compilation"** - a Compilation Record embodying Recordings that are individually selected and/or sequenced by the consumer (via systems such as musicmaker.com, digital on-demand kiosks, the now-defunct "Personics" system and similar systems); (r) **"Contract Period"** - defined in paragraph 2(a); (s) **"Delivery," "Deliver"** and **"Delivered"** - the actual receipt by Company of a completed, fully-edited, mixed and equalized two-track stereo tape, in the format customarily used by Company for the manufacture of Records at the time of Delivery (currently 2.0 DDP file set masters in Yellowbook CD-ROM, 8mm Exabyte or DVD-A for audio-only Records) for each format (e.g., compact disc and cassette) of each Master comprising the applicable Committed Album, which tapes shall in all respects be in the proper form for the production of the parts necessary for the manufacture or creation of Records, together with: (1) the Producer's Package; (2) all Artwork and all required consents, approvals, licenses and permissions in respect of each such Master and Artwork; and (3) using Company's then-standard form therefor, a complete and accurate summary regarding all Samples embodied in each Master, and all consents, licenses and documentation in connection with such Samples. Your Delivery obligation shall include all union session reports and the delivery of a track-by track list identifying the performers on and timings of (and titles, writers and publishers of each Composition embodied on) each Master (including any "hidden" Recordings on any Record) and shall describe such performers' performances. In addition, for each Committed Album you shall provide at least twenty (20) Voice Ringers, ten (10) of which shall be suitable for exploitation as so-called wringback tones"). Each Master shall be subject to Company's approval as technically and commercially satisfactory, and shall not be deemed Delivered unless and until such approval is given. Without limiting the preceding sentence, no Master shall be deemed Delivered if, in Company's reasonable, good faith opinion, such Master or material embodied in such Master would constitute an invasion of any Person's rights (including copyright infringement, libel or slander) or would violate Company's standards of decency or any applicable rules, regulations, statutes or laws. Upon the request of Company, you shall cause Artist to re-record any Composition until a technically and commercially satisfactory Master shall have been obtained. Only Masters Delivered in full compliance with the provisions of this agreement shall be applied in fulfillment of the Recording Commitment and no payments shall be required to be made to you in connection with any Masters which are not in full compliance. Each Master shall be delivered to Company at Warner Bros. Records Inc., 3300 Warner Boulevard, Burbank, California 91505, ATTN: A&R Administration or such other place as Company may notify you. In addition, you shall maintain or cause to be maintained in Company's name all Recordings of Artist's performances made during the Term, including session tapes, alternate mixes and outtakes (but excluding Masters Delivered hereunder and the Producer's Package) in good condition at a location selected or approved by Company and Company shall own such Recordings as provided in paragraph 5 whether or not such Recordings are Delivered. Any payments made by Company following the physical delivery of Masters herein but prior to Delivery shall not constitute a waiver of your Delivery obligations hereunder or of Company's right to approve Masters as technically and commercially satisfactory; (t) **"Demo"** - a so-called demonstration Recording; (u) **"Development Record"** - a Record which is sold by Company or its distributors or by Company's Principal Licensees or their distributors at a PPD which is below the then-prevailing PPD for the majority (or plurality) of Company's or its applicable Principal Licensee's Top Line Records in such format, which PPD is consistently applied by Company or its applicable Principal Licensee to developing Records or In some like-denominated sales category and which Records are sold by Company or its applicable Principal Licensee(s) as developing Records or in

some like-denominated sales category; (v) **"Electronic Transmissions"** - Records sold by Company or through Company's distributors in the United States or by Company, Company's Principal Licensees or their distributors outside the United States other than as Phono Records including via telephone, satellite, cable, point-of-sale manufacturing, transmission over wire or through the air, downloading and any other methods now or hereafter known; (w) **"Advertisement"** - an advertisement posted in an embedded media player which displays media relating to Artist; (x) **"EP"** - a Record embodying thereon between five (5) Masters and ten (10) Masters; provided that, if more than one (1) of such Masters contains the same Composition, such Record shall be deemed to be a Maxi-Single for the purposes of this agreement; (y) **"European Major Territories"** - France, Germany, Italy and Spain; (z) **"Gross Receipts"** - all monies actually received by Company in the United States which are directly and identifiably attributable to the exploitation of particular Recordings, Artwork, EMP Advertisements and Website Advertising hereunder. For the purposes of determining Gross Receipts, any royalties credited to Company's account but charged in recoupment of a prior advance made to Company and retained by the payor by reason of that charge shall be deemed paid to Company and received by Company when Company receives the accounting reflecting the credit and charge concerned. Notwithstanding anything to the contrary contained in this agreement, Gross Receipts shall not include advances or so-called "flat-fee" amounts received with respect to any so-called "blanket licenses" between Company and a licensee under which the licensee is granted access to all or a significant portion of Company's catalog of Recordings or digital properties nor any profits received by Company, any Principal Licensee or their affiliates as a joint venturer in a Club Operation; provided (i) the portion of amounts paid to Company for Subscription licenses or EMP Advertisements that is directly and identifiably attributable to Recordings hereunder; and (ii) the portion of amounts paid to Company for WebSite Advertising that is directly and identifiably attributable to Artist Sites shall be deemed to constitute Gross Receipts hereunder. Gross Receipts for foreign sales shall be computed in the same national currency in which Company's licensee pays Company for that sale, at the same rate of exchange at which that licensee pays or credits Company. For purposes of calculating Gross Receipts, Company shall treat any sale outside of the United States as a sale made during the same accounting period in which Company receives its licensee's accounting and payment or credit for that sale. (aa) **"Gross Royalty Base"** - the PPD applicable to the Record concerned less Program Discounts; (bb) **"Internet"** - the wide area cooperative network of university, corporate, government, private computer networks, Internet Service Providers (ISPs), ISP-like services and any successor, parallel or spin-off network of the foregoing and any current or future proprietary, private, subscription online networks or services communicating through Transmission Control Protocol/Internet Protocol (TCP/IP); (cc) **"Joint Label Compilation"** - a Compilation Record with respect to which two (2) or more labels are profit participants, e.g., the "Totally Hits" or "Now" series; (dd) **"Mailing List"** - e-mail addresses collected by or on behalf of Company via any Company-Artist Site or, subject to any third party restrictions, any third-party Artist site, for the purposes of sending marketing messages to end users; (ee) **"Master"** - a Recording embodying a performance by Artist of one (1) Composition which consists of sound only and is used or useful in the recording, production, manufacture and/or exploitation of Records; (ff) **"Maxi-Single"** - a Record embodying thereon four (4) Masters; (gg) **"Mid-Price Record"** - (1) in the United States, a Record in a particular format which is sold by Company or through Company's distributors at a PPD which is at least sixty-six and two-thirds percent (66-2/3%) but not more than eighty percent (80%) of the then-prevailing PPD for the majority (or plurality) of Company's Top Line Records in such format and (2) outside the United States, a Record in a particular format which is sold by Company, Company's Principal Licensees or their distributors at a PPD which is at least fifty percent (50%) but not more than seventy-five percent (75%) of the applicable Principal Licensee's then-prevailing PPD for the majority (or plurality) of Company's Principal Licensee's Top Line Records in such format; (hh) **"Multiple Record Set"** - a Record consisting of two (2) or more Phone Records packaged and/or marketed as a single unit; (ii) **"Net Receipts"** - Gross Receipts after deduction by Company of all direct expenses, third-party payments, taxes and adjustments related thereto. With respect to Videos, Net Receipts shall be determined after also deducting a marketing and distribution fee equal to: (1) twenty percent (20%) of the applicable Gross Receipts in respect of any broadcast, telecast, cablecast or other similar exploitation (excluding the sale of Audiovisual Records) within the United States if an affiliate of Company arranges for such exploitation; and (2) thirty-five percent (35%) of the applicable Gross Receipts in respect of any broadcast, telecast, cablecast or other similar exploitation (excluding the sale of Audiovisual Records) outside the United States if an affiliate of Company arranges for such exploitation. With respect to any advertising revenue, Net Receipts shall be determined after also deducting an administration fee equal to ten percent (10%) of the applicable Gross Receipts in respect of revenue derived therefrom; (jj) **"Net Sales"** - one hundred percent (100%) of Records sold by Company or through Company's distributors in the United States or by Company, Company's Principal

Licensees or their distributors, as applicable, to independent third parties (including consumers), for which Company's distributor, Company's Principal Licensee or its distributor, as applicable, has been paid or credited, less Records returned for credit at any time for any reason, including at Company's request, and less all credits, cancellations, exchanges or other adjustments. Net Sales shall not include: (1) Records given away or sold at below the applicable PPD for promotional purposes to disc jockeys, reviewers, radio and television stations and networks, motion picture companies, music publishers, Company's employees, you, Artist or others or for use on transportation facilities; (2) Records sold as scrap, salvage, overstock or "cut-outs;" (3) Records sold below cost; and (4) Sampler Records; (kk) **"Online Store Compilation"** - a Compilation Record embodying Recordings that are individually selected and/or sequenced by an online retail store (such as itunes.com, rhapsody.com, napster.com, amazon.com, listen.com, towerrecords.com and similar stores); (ll) **"Opt-In Message"** - a message supplied by Company which provides the recipient concerned with an opportunity to "opt-in" to receive news, updates and/or marketing messages from Company, its Affiliates, artists and/or third parties (with the scope of the opt-in to be determined by Company in its sole discretion); (mm) **"Option Period"** - defined in paragraph 2(a); (nn) **"Person"** - any natural person, legal entity or other organized group of persons or entities. All pronouns, whether personal or impersonal, which refer to Persons include natural persons and other Persons; (oo) **"Phono Record"** - a Record distributed in a physical Record format (e.g., vinyl LPs, cassettes, compact discs and DVDs); (pp) **"PPD"** - the published price to dealers utilized by Company or its distributors, as applicable, in the United States and by Company, Company's Principal Licensee or its distributors in each country outside the United States. Company's principal distributors in the United States and Company's Principal Licensee in Canada both currently refer to the published price to dealers as the "Base Price." For Premium Records the PPD shall be deemed to be the amount actually received by Company; (qq) **"Premium Record"** - a Phone Record produced for use in promoting the sale of merchandise other than Records, and which bears the name of the sponsor for whom the Record is produced; (rr) **"Principal Licensee"** - Company's licensee for the majority (or plurality) of Records sold on behalf of Company in the territory concerned including Company's affiliates and non-affiliated Persons; (ss) **"Producer's Package"** - for each Master comprising the applicable Committed Album, Company's then-standard "producer's package" currently composed of each of the following elements: (1) "flat master" mix reels (i.e., two-track master mixes on 1/2" analog tape, 30 i.p.s., no noise reduction), recorded and compiled at the mixing studio (i.e., prior to mastering); (2) analog and/or digital multitracks (masters and slaves) with accompanying tone reels; (3) computer-based recording storage formats (e.g., ProTools session and audio data files, Exabyte reels, magneto-optical discs, CD-Rs, hard discs, etc.); (4) sample and automation discs; and (5) all existing documentation (e.g., console strips, outboard settings, session notes, etc.). In addition, for one (1) of the Masters comprising the applicable Committed Album (such Master to be designated by Company), one (1) set of remixes (comprised of a radio mix, a TV mix, an instrumental mix and an a cappella mix with timecode, unless Company notifies you otherwise). At Company's request, a mix of the Record comprising the applicable Committed Album in the 5.1 surround sound mode; (tt) **"Program Discounts"** - discounts given by way of price breaks or so-called "free goods" to "one-stops," rack jobbers, distributors or dealers, whether or not affiliated with Company, which are not Standard Discounts; (uu) **"Proportionate Deductions"** - proportionate amounts of: (1) any sums deducted by a licensee from its payments to Company pursuant to any law, any government ruling, or any other restriction affecting the amount of the payments which a licensee can remit to Company; and (2) any taxes deducted by a licensee from its payments to Company; (vv) **"Publishing Net Sales"** - Net Sales less the "free goods" unit equivalent of 100% of Standard Discounts and 100% of Program Discounts included within such Net Sales; (ww) **"Record"** - any form of reproduction, distribution, transmission, communication of, or facilitation of access to, Recordings (whether or not in physical form) now or hereafter known (including reproductions of sound alone or together with visual images) which is manufactured, distributed, transmitted or communicated primarily for personal use, home use, institutional (e.g., library or school) use, jukebox use, or use in means of transportation, including any computer-assisted media or technology (e.g., CD-ROM, DVD Audio, CD Extra, Enhanced CD, player application, widget) or use as a so-called "ringtone" in any form (e.g., as so-called "master ringtones," "polyphonic ringtones" and "MIDI ringtones"); (xx) **"Recording"** - any recording of sound, whether or not coupled with a visual image, by any method and on any substance or material, whether now or hereafter known, which is used or useful in the recording,

production and/or manufacture of Records or for any other exploitation of sound; (yy) **"Recording Commitment"** - defined in paragraph 3(a); (zz) **"Recording Costs"** - wages, fees, advances and payments of any nature to or in respect of all musicians, vocalists, conductors, arrangers, orchestrators, engineers, producers, copyists, etc.; payments to a trustee or fund based on **wages** to the extent required by any agreement between Company and *any* labor organization or trustee; union session scale payable to Artist; all studio, tape, editing, mixing, re-mixing, mastering and engineering costs; artist development costs including physical training, vocal conditioning, cosmetic enhancement and other similar costs, authoring costs; all costs of travel, per diems, rehearsal halls, non-studio facilities and equipment, dubdown, rental and transportation of instruments; all costs occasioned by the cancellation of any scheduled recording session; all amounts paid in connection with the production, conversion, authoring, mastering and delivery of audiovisual materials prepared for or embodied on Records or Value-Added Records; all expenses of clearing and licensing any Samples embodied on Recordings hereunder; and all other costs and expenses incurred in the production, but not the manufacture, of Recordings and Records hereunder or otherwise made in connection with Artist, which are then customarily recognized as recording costs in the recording industry. If Company furnishes any of its own facilities, materials, services or equipment for which Company has a standard rate, the amount of such standard rate (or if there is no standard rate, the market value for the services or thing furnished) shall be deemed Recording Costs. Payments to the American Federation of Musicians' Special Payments Fund and the Music Performance Trust Fund based upon Record sales (so-called "per-record royalties") shall not constitute a Recording Cost and shall not be recoupable from your royalties or reimbursable by you; (aaa) **"Royalty Base Price"** - the Gross Royalty Base applicable to the Record concerned, less excise taxes, duties and other applicable taxes included within the Gross Royalty Base and less Proportionate Deductions, if any; (bbb) **"Sample"** - any copyrightable work which is owned or controlled by any Person other than you, embodied on a Recording hereunder, but not Artist's newly-recorded performance hereunder of an entire Composition previously recorded by other recording artist(s) and theretofore released; (ccc) **"Sampler Records"** - promotional Records on which Recordings hereunder and other Recordings are included, which such Records are given away or sold at a substantially lower PPD than the then-prevailing PPD for the majority (or plurality) of Company's Top Line Records in such format; (ddd) **"Single"** - a Record embodying thereon three (3) or fewer Masters; (eee) **"Staff Producer"** - a producer who is an employee of Company or any affiliate of Company; (fff) **"Standard Discounts"** - discounts reflected in the PPD; (ggg) **"Streaming"** means the digital transmission of a Recording to an end user, other than as a Phone Record or permanent download, whereby such transmission is contemporaneous with the performance of the Recording embodied therein via a receiving device, and which transmission is not intended to be or capable of being stored on the receiving device (other than any temporary copies used solely for so-called "caching" or "buffering"). (hhh) **"Streaming Usages"** - Streaming of Recordings including via Subscription, embedded media players, and as so-called "ringback tones"; (iii) **"Subscription"** - transmission of Records other than Phone Records to consumers, either by Company or through its distributors, its Principal Licensees or their distributors or another Person, in return for a subscription or other fee paid by the consumer to obtain access to such Recordings for a limited period of time and/or a limited number of uses or any other method of exploitation commonly recognized as a subscription service; **"Territory"** - the universe; (kkk) **"Top Line Record"** - a Record bearing a PPD that is not less than the PPD for the majority (or plurality) of the new Record releases in the same format and configuration by Company's best-selling artists; (lll) **"USNRC Net Sales"** - Net Sales of Top Line Records consisting entirely of Recordings hereunder through normal retail channels in the United States, including Electronic Transmissions; (mmm) **"Value-Added Record"** - a Multiple Record Set which is sold by Company or its distributors or Company's Principal Licensees or their distributors at a PPD which is no more than one hundred twenty percent (120%) of Company's or the applicable Principal Licensee's then-prevailing PPD for one (1) of the Records comprising such Multiple Record Set; (nnn) **"Video"** - a Recording embodying an audiovisual work primarily featuring the audio soundtrack of one (1) or more Masters hereunder; and (ooo) **"Video Production Costs"** - all amounts paid or incurred in connection with the production, conversion and delivery of Videos. Video Production Costs include flat-fee payments to the publishers of musical works, non-reimbursed costs and expenses incurred in the duplication and delivery of copies of Videos to licensees, and all direct out-of-pocket costs (such as for rights, artists including Artist, producers and other personnel, travel, per-diems, facilities, materials, services and use of equipment). If Company furnishes any of its own facilities, materials, services or equipment for which Company has a standard rate, the amount of such standard rate (or if there is no standard rate, the market value for the services or thing furnished) shall be deemed Video Production Costs; (ppp) **"Voice Ringer"** - a Recording solely embodying Artist's non-musical vocal performances designed for use as a so-called "ringtone"; (qqq) **"Web Site Advertising"** - the leasing of commercial advertising space on a Company-Artist Site to Persons other than Company or its licensees for products or services that do not

relate to Artist's Recordings or entertainment services (including merchandise, Artist's fan club, tour events, endorsements, advertisements, sponsorships, and visual performances) and do not otherwise constitute an EMP Advertisement.

EXHIBIT A

Letter of Direction

Proper Business Ent, LLC
100 Church Street, 8th Floor
New York, NY 10007

Dated: May 12th, 2021

Warner Bros. Records Inc.
3300 Warner Boulevard
Burbank, California 91505

RE: Letter of Direction Anthony Catchings Currie p/k/a "NNTYSIX"

Gentlepersons:

Proper Business Ent., LLC ("Company") has engaged Anthony Catchings Currie p/k/a "NNTYSIX" ("Producer"), pursuant to the attached producer agreement dated as of May 12th, 2021 ("Producer Agreement") to render services as a producer with respect to the master recording currently entitled "**Night Time**" (the "Master") embodying the performances of **Isaiah Dukes p/k/a "Lil Zay Osama"** ("Artist") to be delivered by Company pursuant to the agreement between you and Artist dated as of January 22nd, 2019, as amended (the "Warner Bros. Agreement").

Although the Producer Agreement requires Company to pay for the services of Producer, Company hereby requests and authorizes you to make payments to Producer for Producer's services on Company's behalf as set forth below. All capitalized terms not otherwise defined herein will have the meaning ascribed to them in the Warner Bros. Agreement.

1. A non-returnable payment of **Five Hundred (\$500) Dollars** ("Fee"). The Fee will be deemed an advance ("Advance") fully recoupable from all monies becoming payable to Producer under paragraph 2 below or otherwise. The Fee will be paid upon the later of: (a) the delivery and acceptance by you of the commercially and technically satisfactory Master; or (b) the full execution of the Producer Agreement. To the extent the Advance is not so recouped, such Advance may be recouped by you pursuant to the terms of the Warner Bros. Agreement.

2. A royalty ("Producer Royalty") on exploitations of the Master at the following rates, in accordance with the following terms:

(a) On net sales of full-priced, top-line LPs embodying the Master which are sold through normal retail distribution channels in the United States in respect of which royalties are payable pursuant to the Warner Bros. Agreement ("Base Rate Records") and digital distribution of the Masters, Producer shall be paid a royalty at the rate of **three (3%) percent** of the applicable base rate (without regards to any escalations thereunder) (hereinafter the "Base Rate"), prorated subject to subparagraph 2(c) below. The Base Rate shall be calculated, adjusted and paid as set forth in the Warner Bros. Agreement. With respect to all other exploitations of the Master for which a royalty is payable to Artist pursuant to the Warner Bros. Agreement, the Producer Royalty shall be calculated, determined, adjusted and paid on the same basis as Artist's royalty is calculated, determined, adjusted and paid on the same basis as the Artist's royalties are calculated, determined, adjusted and paid pursuant to the Warner Bros. Agreement.

(b) On exploitations of the Master for which the royalty described in the Warner Bros. Agreement as a percentage of Warner Bros Records Inc.'s Net Receipts (including, without limitation, any so called flat fee income), Producer shall be paid a royalty equal to the royalty on such exploitations described in the Warner Bros. Agreement multiplied by a fraction, the numerator of which is the Base Rate and the denominator of which is the basic unescalated rate applicable to all Records in the U.S. pursuant to the Warner Bros. Agreement (the "Fraction"). With respect to the commercial exploitation of audiovisual recordings ("Videos") embodying the Master, the Producer Royalty shall be an amount equal to fifty percent (50%) of the amount otherwise payable to Producer hereunder, pro-rated as set in subparagraph 2(c) below, and paid prospectively following recoupment of all recoupable costs in connection with such Video, subject to the recoupment of the Advance.

(c) Notwithstanding the foregoing, on exploitations of the Master together with other master recordings, the royalty otherwise payable to Producer hereunder with respect to such exploitations shall be prorated by multiplying such royalty by a fraction, the numerator of which is one (1) and the denominator of which is the total number of royalty-bearing master recordings (including the Master) embodied thereon.

3. The Producer Royalty will not be payable until you have recouped all Recording Costs attributable to Producer's producing of the Master as well as all Recording Costs with respect to the Album upon which the Master is initially embodied under the Warner Bros. Agreement. Such recoupment will be computed at the net royalty rate as reduced to reflect the deduction of the royalty payable to Artist, Producer as well as any other producer, mixer or remixer of the Master hereunder from the U.S. Basic Rate. After such recoupment, the Producer Royalty will be computed retroactively and paid on the Master from the first Master sold or otherwise exploited, subject only to the recoupment of the Advance from the Producer Royalty earned hereunder, and without regard for the overall recoupment status of Artist's account with Warner Bros. Records Inc.

4. Your compliance with this authorization will constitute an accommodation to Company/Artist alone; Producer is not beneficiary of it. All payments under this authorization will constitute payment to Company/Artist and you will have no liability by reason of any erroneous payment or failure to comply with this authorization. Company/Artist will indemnify and hold you harmless against any claims asserted against you and any damages, losses or expenses you incur by reason of any such payment or otherwise in connection herewith.

5. All monies becoming payable under this authorization will be remitted to Producer at the following address or otherwise as it directs you in writing and will be accompanied by statements with respect to such payments:

PAYMENT INFO:

Anthony Catchings Currie p/k/a "NNTYSIX"
13049 South Escanaba Avenue
Chicago, IL 60633

6. Company understands that royalty payment instructions of this nature are usually placed in effect with respect to the accounting period in which you receive them if they are delivered to you within the first three months of that period, and with respect to the next accounting period if delivered after that time, although administrative factors may result in variations from that procedure.

Sincerely,

Proper Business Ent, LLC

By: _____
Duly Authorized Signature

ACKNOWLEDGED:

By: _____
Isaiah Dukes p/k/a "Lil Zay Osama"

EXHIBIT B

SoundExchange, Inc.
Letter of Direction

Solely as a service and accommodation to those featured artists entitled to royalties under 17 U.S.C. § 114(g)(2)(D) who specifically authorize SoundExchange to collect and distribute royalties on their behalf, SoundExchange permits such featured artists to designate that a percentage of the royalties due them from SoundExchange relating to certain sound recordings be remitted to creative personnel credited or recognized publicly for the commercially released sound recording on which the featured artist performs or other usual and customary royalty participants in such sound recording.

Please note that a **performer** need not execute this Letter of Direction in order to be paid statutory royalties by SoundExchange.

To make such a designation, the performer submitting this Letter of Direction (“LOD”) must be registered with SoundExchange.

Sections with asterisks are required.

*Name of Solo Artist or Group on recording(s): Lil Zay Osama

*Legal Name of Performer(s) for this LOD: Isaiah Dukes

*Name of Producer, Mixer or Engineer (“Payee”) – **Only Include One Payment Name:**

Anthony Catchings Currie p/k/a “NNTYSIX

* Required if paying to a company: I certify that company listed above is owned solely by the producer, mixer, or engineer involved in the creative process for the recordings listed in the attached LOD Repertoire Chart

*Payee ID (If known): ____

*Payee Address – **include c/o's here:**

13049 South Escanaba Avenue
Chicago, IL 60633

*Payee Telephone Number: _____

*Payee E-Mail: heynntysix@gmail.com

*An LOD Repertoire Chart is required to complete the LOD. Please submit a complete LOD Repertoire Chart along with all the pages in this Letter of Direction.

*Effective Date: (choose one)

☐ Check here if this LOD applies to payments as of ____[date]

☒ Check here if this LOD applies retroactively for all tracks listed on the LOD Repertoire Chart.

☐ Check here if the Effective Payment Date varies by track. Enter the Effective Dates on the LOD Repertoire Chart.

Please note that retroactive application of an LOD is limited to available SoundExchange royalties for the tracks listed on the LOD Repertoire Chart.

*Payment Percentage ("Percentage"): check applicable box

☒ **7.89 %** of Performer royalties are applicable to all tracks listed on the LOD Repertoire Chart.

☐ Percentage varies by each track covered by this LOD. Enter percentages on the LOD Repertoire Chart.

TERMS AND CONDITIONS

By signing this Letter of Direction and submitting it to SoundExchange, Performer agrees as follows:

1. Performer represents and warrants that Performer is the featured recording artist who performed on the sound recording(s) identified on the “LOD Repertoire Chart” attached hereto as Schedule 1 (the “Recordings”).
2. Performer represents and warrants that Payee is an individual credited or recognized publicly for the commercially released sound recording identified on the LOD Repertoire Chart (i.e., a producer, mixer, or engineer).
3. Performer requests and authorizes SoundExchange to pay to and in the name of Payee an amount equal to Percentage of the royalties otherwise payable by SoundExchange to Performer in respect of the Recordings, thereby reducing the payments from SoundExchange to Performer. If a previous “Royalty Distribution Information for Featured Artist” or other letter of direction has been provided to SoundExchange that conflicts with this Letter of Direction, then any and all previous letters of direction or similar documents conflicting herewith are hereby revoked.
4. All monies becoming payable under this Letter of Direction shall be remitted to Payee at the address identified above or as Payee otherwise directs SoundExchange in writing. If SoundExchange requires additional information (e.g., Payee tax information) to remit payments under this Letter of Direction, then Performer and Payee shall be responsible for providing SoundExchange with such information promptly. To the extent SoundExchange is not provided with sufficient or correct information to remit payment to Payee, or checks mailed to Payee’s last known address are returned, SoundExchange may hold the monies pending receipt of such information or pay the royalties to Performer.
5. SoundExchange will honor a written revocation by Performer of the designation made by this Letter of Direction. In the event of such a revocation, SoundExchange may, but need not, mail notice of the revocation to the last known address of Payee. The foregoing is without prejudice to any other contractual arrangements between Performer and Payee requiring payment of the Percentage by Performer. SoundExchange has no responsibility for Performer’s performance or nonperformance of any such obligation.
6. SoundExchange may discontinue making payments under this Letter of Direction at any time, including if checks mailed to Payee’s last known address are returned, Performer ceases to be a registrant of SoundExchange, or SoundExchange modifies its policies concerning letters of direction. If it does so, then SoundExchange may, but need not, mail notice thereof to the last known address of Performer and Payee, and monies that otherwise would have been payable under this Letter of Direction will be paid to Performer.
7. Performer acknowledges that SoundExchange is providing payments to Payee solely as an accommodation to Performer but that all royalties distributed by SoundExchange to Payee are taxable

to Payee. Payee shall be solely responsible for providing SoundExchange with tax paperwork required by any governmental agency, including the Internal Revenue Service, to avoid tax withholding.

8. SoundExchange may rely conclusively, and shall have no liability when acting, upon any written notice, instruction, other document or signature that is reasonably believed by SoundExchange to be genuine and to be authorized by Performer. SoundExchange shall not be responsible for failure to act as a result of causes beyond the reasonable control of SoundExchange. SoundExchange shall not be liable to Performer, Payee or to any third party for, and Performer agrees to defend (with counsel satisfactory to SoundExchange), indemnify and hold harmless SoundExchange from, any damages or loss (including reasonable attorney's fees) in any way related to this Letter of Direction, unless such loss is caused by SoundExchange's gross negligence or willful misconduct. The provisions of this Paragraph 8 shall survive the revocation or other termination of this Letter of Direction.

9. In order to maintain flexibility in administering this Letter of Direction, SoundExchange may modify these Terms and Conditions from time to time, in its sole discretion. Such changes shall be effective immediately and Performer shall be deemed to have notice of such changes when they are made available on the SoundExchange website. Notwithstanding the foregoing, if Performer does not wish to accept any changes, Performer must provide SoundExchange written notice within thirty (30) days of notice of any changes to this Letter of Direction.

10. This Letter of Direction shall be governed by and construed in accordance with the substantive laws of the District of Columbia. Any dispute relating to or arising from this Letter of Direction shall be subject to the exclusive jurisdiction of courts sitting in the District of Columbia.

ACKNOWLEDGED AND ACCEPTED BY:

(The signature of each Performer or Authorized Signatory for each Performer is required.)

Performer Signature: _____

*Performer Printed Legal Name: Isaiah Dukes

OR, SoundExchange Authorized LOD Signatory: _____

SoundExchange Authorized LOD Signatory Printed Name: _____

Date of Signature: _____

Return the original of this form to:

SoundExchange, Inc.
733 10th Street NW, 10th Floor
Washington, DC 20001

You may also scan and email the completed forms to accounts@soundexchange.com
Or fax to: 202.640.5859

If you have questions, please call 1-800-961-2091 or email accounts@soundexchange.com

Schedule 1: Repertoire Chart for Featured Artist Letter of Direction

Name of Solo Artist on Recording(s): Isaiah Dukes p/k/a “Lil Zay Osama”
 LOD Recipient Name: Anthony Catchings Currie p/k/a “NNTYSIX”

*** indicates a Required Field. Other fields are optional, but assist in identifying reported performances.**

*Sound Recording Track Name(s)	*Percentage Share of artist royalties	Effective Date of the LOD for this track (required if tracks have different effective dates)	Track Version (e.g., studio, re-mix version, etc.	Sound Recording Track ISRC	Album or Release Name	Label	Release Date	Other artists on this track (if applicable)
Night Time	7.89%		Studio			Warner Bros. Records Inc.	T/B/D	